

21TRCV00443 21TRCV00443

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Case Number: 21TRCV00443 Hearing Date: September 9, 2026 Dept: M

LOS ANGELES SUPERIOR COURT – SOUTHWEST DISTRICT

Honorable Amy N. Carter

Department M

Wednesday – September 9, 2026

Calendar No.

PROCEEDINGS

Marcia

Pyin-Shan Chiang v. Joseph Yeh, et al.

21TRCV00443

1. IDJ Enterprises, Inc. and Joseph Yeh's Motion for
Partial Judgment Notwithstanding the Verdict

TENTATIVE RULING

IDJ Enterprises, Inc. and Joseph Yeh's Motion for
Partial Judgment Notwithstanding the Verdict is granted.

Background

Plaintiff's Complaint was filed on June 16, 2021. Plaintiff

alleges the following facts. Plaintiff entered into a contract with Defendants. Defendants agreed to build Plaintiff a restaurant in exchange for Plaintiff paying \$80,000 and entering into a 10-year lease to rent the property. Plaintiff performed the contract, but Defendants did not build the restaurant. Plaintiff also contends that Defendants induced Plaintiff to enter into a promissory note. The Complaint alleged the following causes of action: 1. Breach of Contract; 2. Declaratory Relief and Cancellation of Instruments.

On October 20, 2021, Defendants/Cross-complainants Joseph Yeh, IDJ Enterprise, Inc., and Grandtower Group, Inc. filed a Cross-Complaint against Plaintiff for (1) breach of written contract, (2) breach of oral contract, (3) breach of the covenant of good faith and fair dealing, and (4) breach of the covenant of good faith and fair dealing.

Cross-Complainants filed a First Amended Cross-Complaint on June 29, 2023. Cross-Complainant identified the real party in interest as Yokohama Group, Inc. in place of Grandtower Group, Inc., removed Joseph Yeh as a Cross-Complainant, added Cross-Defendants 95 Kitchen, Inc., Jailin Chiang, and Jayi Chiang, added alter ego allegations, and amended certain allegations and demands for damages. The FACC stated the following causes of action: (1) Breach of Written Contract - Lease; (2) Breach of Oral Contract; (3) Breach of Written Contract - Promissory Note; (4) Breach of the Covenant of Good Faith and Fair Dealing; (5) Breach of the Covenant of Good Faith and Fair Dealing. After the sustaining of a demurrer, Cross-Complainant filed a Second Amended Cross-Complaint alleging the same five causes of action.

On June 20, 2026, after a jury trial, the jury rendered a verdict in this action. The jury awarded Plaintiff \$95,000.00 on the first cause of action of the Complaint. The jury awarded Cross-Complainant Yokohama \$6,500 on the Cross-Complaint. On July 29, 2026, the Court issued a Statement of Decision on the second cause of action of the Complaint which was an equitable cause of action for Declaratory Relief and Cancellation of Instruments. The request for declaratory relief was denied.

Objections

Plaintiff's objection to the untimely Reply is sustained. The Court did not consider the Reply.

Motion for Judgment Notwithstanding the Verdict

(a) The court, before the expiration of its power to rule on a motion for a new trial, either of its own motion, after five days' notice, or on motion of a party against whom a verdict has been rendered, shall render judgment in favor of the aggrieved party notwithstanding the verdict whenever a motion for a directed verdict for the aggrieved party should have been granted had a previous motion been made.

(b) A motion for judgment notwithstanding the verdict shall be made within the period specified by Section 659 for the filing and service of a notice of intention to move for a new trial. The moving, opposing, and reply briefs and any accompanying documents shall be filed and served within the periods specified by Section 659a, and the hearing on the motion shall be set in the same manner as the hearing on a motion for new trial under Section 660. The making of a motion for judgment notwithstanding the verdict shall not extend the time within which a party may file and serve notice of intention to move for a new trial. The court shall not rule upon the motion for judgment notwithstanding the verdict until the expiration of the time within which a motion for a new trial must be served and filed, and if a motion for a new trial has been filed with the court by the aggrieved party, the court shall rule upon both motions at the same time. The power of the court to rule on a motion for judgment notwithstanding the verdict shall not extend beyond the last date upon which it has the power to rule on a motion for a new trial. If a motion for judgment notwithstanding the verdict is not determined before that date, the effect shall be a denial of that motion without further order of the court.

(c) If the motion for judgment notwithstanding the verdict is denied and if a new trial is denied, the appellate court shall, if it appears that the motion for judgment notwithstanding the verdict should have been granted, order judgment to be so entered on appeal from the judgment or from the order denying the motion for judgment notwithstanding the verdict.

(d) If a new trial is granted to the party moving for judgment notwithstanding the verdict, and the motion for judgment notwithstanding the verdict is denied, the order denying the motion for judgment notwithstanding the verdict shall nevertheless be reviewable on appeal from that order by the aggrieved party. If the court grants the motion for

judgment notwithstanding the verdict or of its own motion directs the entry of judgment notwithstanding the verdict and likewise grants the motion for a new trial, the order granting the new trial shall be effective only if, on appeal, the judgment notwithstanding the verdict is reversed, and the order granting a new trial is not appealed from or, if appealed from, is affirmed."

A motion for judgment notwithstanding the verdict ("JNOV") challenges the legal sufficiency of the opposition's evidence, essentially acting as a de facto demurrer to the evidence. Thus, the motion challenges the legal sufficiency of the evidence which supported the jury's verdict. *Hauter v. Zogarts* (1975) 14 Cal.3d 104, 110. The judge does not weigh the evidence or re-determine the credibility of witnesses. *Id.*

A JNOV motion "may be granted only if it appears from the evidence, viewed in the light most favorable to the party securing the verdict, that there is no substantial evidence in support." *Sweatman v. Department of Veterans Affairs* (2001) 25 Cal.4th 62, 68. The motion must be denied if substantial evidence supports the verdict. *Begnal v. Canfield Assocs., Inc.* (2000) 78 Cal.App.4th 66, 72. A JNOV is warranted where the verdict is only supported by inferences that conflict with "clear, positive, uncontradicted ... [evidence] of such a nature that it cannot rationally be disbelieved." *Teich v. General Mills, Inc.* (1959) 170 Cal.App.2d 791, 799.

A JNOV motion shall be granted "whenever a motion for a directed verdict for the aggrieved party should have been granted had a previous motion been made." CCP § 629. "A directed verdict may be granted only when, disregarding conflicting evidence, giving the evidence of the party against whom the motion is directed all the value to which it is legally entitled, and indulging every legitimate inference from such evidence in favor of that party, the court nonetheless determines there is no evidence of sufficient substantiality to support the claim or defense of the party opposing the motion, or a verdict in favor of that party." *Eucasia Schools Worldwide, Inc. v. DW August Co.* (2013) 218 Cal.App.4th 176, 180-81.

Defendants move for partial judgment notwithstanding the verdict "as to the jury's award of \$95,000 in damages to Plaintiff Marcia Chiang on her first cause of action for breach of contract (Construction Contract). This motion is made on the grounds that the verdict is not supported by substantial evidence because: (1) all checks for construction-related

payments shown in Trial Exhibits 6, 7, and 8 were drawn from the account of 95 Kitchen, Inc., a defaulted party that had no standing to assert claims at trial and cannot recover damages; and (2) the jury found that Plaintiff Marcia Chiang breached the Lease Contract and owes Cross-Complainant Yokohama Group, Inc. \$6,500.00, and paragraphs 15, 24.3(i), and 24.5 of the Lease Contract establish that a breaching tenant has no right to possession of items attached to the freehold, including the grease trap and other items listed in Exhibit 12, rendering such construction-related expenditures non recoverable." (Notice of Motion, p. ii, lines 6-17).

First, Defendants show that the evidence submitted at trial revealed that the construction related payments were made by a defaulted entity named 95 Kitchen, Inc. and not by Plaintiff Chiang. (Defendants' Exs. 6-8). Thus, Defendants argue that there is no substantial evidence that Plaintiff Chiang incurred these damages as opposed to defaulted party 95 Kitchen, Inc. In opposition, Plaintiff argues that this Court has already made a ruling stating that Plaintiff had standing to pursue this claim. However, Plaintiff confuses the difference between establishing standing and proving damages. In fact, the Court specifically stated in its ruling that, while Plaintiff had standing to pursue the claim, that she would still have to be required to prove the elements of the cause of action to prevail on the claim.

The Court ruled: "A simple review of the lease agreement reveals that Plaintiff is the contracting party, lessee, on the agreement. Thus, she clearly has standing to assert and pursue a breach of contract cause of action. Defendant appears to confuse the issue of standing and damages. Whether Plaintiff can obtain damages and the amount of damages Plaintiff can recover is a separate matter to which Plaintiff will bear the burden of proof. [...] Plaintiff has standing because she is the party to the lease agreement. An element of the breach of contract cause of action is damages to which she will be required to prove the substantive merits with competent evidence. Defendant, of course, may attempt to provide evidence to establish a defense that any or some of the damages do not belong to the Plaintiff but to a separate corporation. However, that is an issue of proof and not an issue of lack of standing." (Minute Order, dated December 17, 2025).

Again, all the evidence at trial appears to demonstrate that the damages were incurred by this defaulted entity named 95 Kitchen, Inc. and not by Plaintiff herself. In opposition, Plaintiff was not able to direct the Court to any evidence to show that these damages were

incurred by her.

Second, Defendant pointed to specific language of the lease. Paragraph 15 of the Lease Contract provides that "[a]ll alterations, additions, and improvements made by Tenant to or upon the Premises, except counters or other removable trade fixtures, shall at once when made or installed be deemed to have attached to the freehold and to have become the property of Landlord." (Ex. G, at 4.)

Paragraph 24.3(i) grants Landlord "the right to terminate this Lease and Tenant's right to possession of the Premises and to reenter the Premises, take possession thereof and remove all persons therefrom" upon Tenant's default. (Id. at 9.)

Paragraph 24.5 states: "In the event of Tenant's default, Tenant shall not remove any of Tenant's property from the Premises during the period of default. Landlord shall have the option to (i) require Tenant to remove Tenant's property from the Premises; (ii) take the exclusive possession of and use Tenant's property free of rent or charge until all defaults have been cured; or (iii) remove all or any part of Tenant's property and place it in storage at a public warehouse at the expense and risk of Tenant." (Id. at 9.)

Trial Exhibit 12 itemizes the total amount Plaintiff claims to have paid which totaled \$94,759.84. This amount substantially matches the eventual jury verdict of \$95,000.00. However, encompassed within this amount are amounts for fixtures which are attached items that become part of the leased premises. Trial exhibit 12 also included the following amounts: \$6,000 in rent and \$8,829.30 in security deposit. These are damages based on the lease and not based on the separate oral construction contract, and, thus are not a recoverable amount of damages on the Plaintiff's cause of action for breach of construction contract. In addition, Plaintiff identified an amount of \$9,018.74 in payments made for permits. However, again, the only evidence submitted was that these payments were made by 95 Kitchen and not by Plaintiff.

Plaintiff's opposition fails to demonstrate where in the trial record there exists legally sufficient evidence to support the verdict. In the opposition, Plaintiff essentially repeats verbatim, and, at length, the jury instructions. Plaintiff also essentially argues that since a general verdict was rendered that there must have been sufficient evidence to

support the verdict. Of course, as demonstrated above, this is not the legal standard, otherwise, there would be no value of a motion for judgment notwithstanding the verdict.

Elsewhere, Plaintiff speculates that the jury may have awarded damages for lost profit. However, this argument is based on an inference from sheer speculation rather than from the evidence. "Inferences may constitute substantial evidence, but they must be the product of logic and reason. Speculation or conjecture alone is not substantial evidence." *Roddenberry v. Roddenberry* (1996) 44 Cal.App.4th 634, 651. Plaintiff's opposition failed to direct the Court to any piece of evidence that would support that the damages awarded in the verdict was for lost profits. Plaintiff failed to demonstrate where, in the evidentiary record, the Court can find support for the arguments that were made in the opposition. The Court notes that the filed opposition was solely a memorandum of points and authorities with no evidence attached that could lead the Court to the admitted evidence at trial that would support the amount of the jury verdict.

Thus, for the foregoing reasons, Defendants' partial motion for judgment notwithstanding the verdict is granted. The judgment is hereby modified to award Plaintiff Marcia Chiang \$0 in damages on her first cause of action for breach of construction contract.

Defendants are ordered to give notice of this ruling.